Step-2: Arrangement of Finance

The new entrepreneur after obtaining license and clearances from competent authorities has to make arrangement of finance. They require loans and working capital to set up is business.



Small Industries Development Bank of India **(SIDBI)**, State Financial Corporation **(SFC)**, National Small Industries Corporation **(NSIC)**, Small Industrial Development Corporation **(SIDCO)**, Regional Rural Banks, Cooperative banks, Commercial Banks provide **financial assistance to set up the new ventures.**

Step-3: Application for Financial Assistance

The entrepreneur has to submit an application for financial assistance along with project report to the agency or financial institution for obtaining the required loan. Along with the application he has to submit, project report, partnership deed, quotations in respect of plant and machinery, copy of lease agreement of land and proposed building plans, architect estimates of factory building etc.

Step-4: Building Construction and Civil Works

The construction of work-shed should be done with the consultation with an architect by a good civil contractor. Before commencing construction activities, the entrepreneur should obtain necessary license from the corporation or municipal authorities or other local authorities and should also ensure that the plan of the building conforms to the norms stipulated by the inspector of factories. In some cases a pre-build factory shed is obtained from state government and industrial estate.

Step-5: Placement of Order for Plant and Machinery.

The orders for Plant and Machinery and other fixed assets are placed with selected suppliers. The timing of placing the order should be synchronized with the completion of the building construction.

Step-6: Installation and Commissioning of Plant and Machinery

The entrepreneur should formulate a suitable layout which would facilitate production operations in the best possible manner. They have to pay attention to the provision of adequate workspace and ventilation for each worker to perform his operations effectively. The entrepreneur should formulate a blue print converting the actual layout of factory and segregate the areas allocated based on the installation and commissioning needs of plant and equipment.

Step-7: Power and Water Connection

The formalities for water and electrical connection are obtained. A consumer can avail **LT** (Low Tension) supply if the connected load is **less than 75 HP.** If connected load is between **75HP - 130 HP** the consumer has an option of either availing **LT** supply or **HT** (High Tension) supply. If the connected **load exceeds 130HP** the unit is classified as **HT** consumer.

Step-8: Recruitment of Personnel and their Training

The personnel should be selected on the basis of their ability, knowledge of the job and other skills required in execution

XII Std - Home Science EM_Unit 7.indd 190 20-04-2020 6.48.56 PM